



FY 2023/24 marked a year of exceptional performance for LB Finance PLC, characterised by the highest-ever profit after tax, significant expansion of our asset base, and strong portfolio quality. These achievements are a testament to our strategic approach, underpinned by a robust balance sheet that empowers us to invest in key growth opportunities. Moreover, our investments in technology have significantly enhanced the customer experience and the passion and perseverance of our dedicated team, are the driving force behind our ongoing success.

SRI LANKA'S ECONOMIC COMEBACK GAINS MOMENTUM

Sri Lanka's economy showed promising signs of recovery in the latter half of 2023 and early 2024 after navigating a period of significant challenges.

The resolution of the Domestic Debt Optimisation (DDO) by June 2023 played a key role in stabilising the financial sector and alleviating market stress. This resulted in a sharp decline in interest rates, with policy rates dropping by 700 basis points. Targeted monetary policy interventions successfully curbed inflation. This stability paved the way for positive economic growth in the following two quarters, with contributions from all sectors.

Factors such as a resurgence in tourism, increased migrant worker remittances,

and IMF Extended Fund Facility assistance boosted foreign exchange liquidity, contributing to a 9% appreciation of the rupee. This positive momentum continued into the fourth quarter, with exports experiencing a notable surge.

ADAPTING TO CHANGE

Our commitment to excellence drives us to consistently create positive change and foster growth for our stakeholders. Built on decades of experience, proven methods, and unwavering strength, we provide the tools and support needed to turn dreams into reality. Moreover, our dynamic approach ensures we consistently deliver exceptional results, even in the face of challenges.

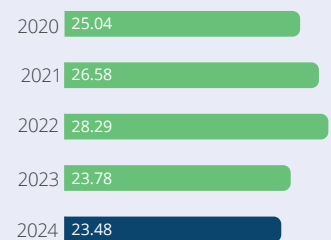
Our proactive portfolio management, particularly our focus on short-term business activities enabled us to successfully navigate volatile interest rates. By repricing these assets/liabilities and maintaining a balanced approach, we mitigated risks and capitalised on opportunities in a year where interest rates fluctuated significantly. This strategy, crucial to our strong financial performance, underscores our commitment to a resilient and adaptable business model.

To our customers, we remained steadfast in our commitment to supporting and standing by them, particularly during

EPS and PE Ratio Rs. | Times



Return on Equity %



Capital Adequacy Ratio %



Green Financing Rs. Mn



times of hardship. Recognising the challenges they faced, we continued to offer comprehensive assistance and financial guidance. This included partnering with our customers and providing tailored support, empowering them to navigate the digital landscape by enhancing their digital literacy and enabling seamless financial management through our CIM app.

Our commitment to corporate social responsibility (CSR) is deeply woven into the fabric of our operations. Through strategic partnerships and targeted investments, we address societal challenges in areas such as education, knowledge empowerment, environmental conservation, and community development. By leveraging our resources and expertise, we made a meaningful and lasting impact on the lives of individuals and communities during the year under review.

A COMMENDABLE PERFORMANCE

We are proud to report another year of exceptional performance, delivering increased value to our stakeholders through strong financial results, enhanced customer experiences, and unwavering commitment to responsible business practices.

The profit after tax reached Rs. 9.56 Bn. reflecting a 13.04% increase YoY in FY 2023/24.

Significant progress was made in enhancing asset quality during the year under review through improved credit underwriting practices, a vigilant approach to credit monitoring and robust recovery efforts, which resulted a decrease in impairment charge.

The tax liability reached Rs. 9.24 Bn. in 2023/24 due to the Company's strong financial performance during the current financial year and the full impact of tax reforms introduced in the second half of the previous financial year. Notably, we were the highest tax-paying NBFi (Non-Banking Financial Institution) in Sri Lanka making a substantial contribution to the national economy.

Moreover, we recorded a deposit growth of 7.72% YoY and maintained a fixed deposit renewal ratio of 81%. This is a testament to the Company's ability to

retain existing customers and foster their ongoing trust. Furthermore, our lending portfolio grew by 11.09% YoY demonstrating the success of our volume-driven strategy in expanding our lending base.

Additionally, both Tier 1 and Total capital adequacy ratios improved in FY 2023/24 to 31.45% and 32.19% respectively demonstrating our financial stability and resilience against potential losses.

Our dedication to driving shareholder value is evident in the 8.86% CAGR growth in our balance sheet and a 14.46% YoY increase in shareholder funds, reaching Rs. 43.63 Bn. As a result, the Board is pleased to recommend a dividend of Rs. 5.75 per share (Interim of Rs. 2.25 per share and final of Rs. 3.50 per share), continuing our consistent dividend policy, which reflects a payout ratio of 33.31%. This demonstrates our commitment to rewarding our shareholders for their ongoing trust and support.

A LEGACY OF INTEGRITY

Strengthening our governance framework

For over half a century, we have prioritised good governance, adhering to not just regulatory requirements, but also voluntary standards and codes. This commitment proved particularly valuable in navigating the challenges of the pandemic and economic crisis, allowing us to demonstrate resilience and fulfil our promises to stakeholders. In response to recent external developments, including new listing rules and revised governance codes, the Board has intensified its focus on corporate governance, ensuring we remain adaptable and robust. While already largely compliant, we are addressing remaining gaps, particularly in preparation for upcoming mandatory sustainability reporting. The formation of a dedicated Board Sustainability Committee and the proactive efforts of other Board committees highlight our commitment to continuous improvement in governance and risk management.

BUILDING A SUSTAINABLE FUTURE

Looking ahead, we are committed to building on our achievements and solidifying our position as a leading NBFi. We are crafting a vibrant future filled with

endless possibilities for all stakeholders, driven by innovative strategies and a dedication to exceeding expectations.

Accordingly, we will continue to invest in technology, prioritise customer-centric initiatives, and foster talent development, ensuring we deliver increasing value to our stakeholders. Recognising the importance of environmental sustainability and social responsibility, we are prioritising these initiatives, ensuring they are embedded in every aspect of our operations. The recent establishment of a dedicated Board Sustainability Committee formalises our commitment to these essential values. With this dedicated focus, we will continue to drive positive change for our communities, our planet, and our stakeholders.

A NOTE OF APPRECIATION

To conclude, I wish to express my sincere gratitude to the entire LB team for their unwavering commitment and dedication. Your loyalty to LBF's vision, even amidst challenging circumstances, is truly commendable. I am deeply grateful for the unwavering support and encouragement I receive from my fellow Board members.

A special thank you to the Governor of the Central Bank of Sri Lanka and the dedicated officials at the Department of Supervision of Non-Bank Financial Institutions for their invaluable guidance.

To our valued shareholders, customers, and all other stakeholders, your continued trust and partnership are the foundation of our success. We deeply appreciate you joining us on this journey and trust you will remain by our side as LBF strives for even greater heights in the years to come.



G A R D Prasanna
Chairman

27 May 2024



FY 2023/24 was a year of significant achievements for LBF, marked by a surge in our asset base surpassing to an impressive Rs.200 Bn. exceeding previous records and demonstrating our commitment to growth. We also achieved our highest-ever profit, a testament to the tireless efforts of our dedicated team of over 4,000 employees. This success is further evidenced by our expanded network of 200 branches, extending our reach and impact across the nation. Furthermore, we remain the top tax-paying Non-Bank Financial Institution in Sri Lanka, demonstrating our commitment to contributing to the nation's economic growth. While the record profit performance was supported by favourable market conditions, it is an evidence to the dedication and hard work of our employees. I would like to extend my sincere gratitude to our entire team for their unwavering commitment to serving our customers.

A COMMENDABLE PERFORMANCE

Despite challenging macroeconomic conditions and industry-wide systemic shocks, we achieved a commendable performance in FY 2023/24. Our balanced structure and dynamic approach, coupled with strategic portfolio adjustments, effective risk management, and

operational efficiency, enabled us to consistently overcome challenges and deliver exceptional results.

Net interest income surged by 28.69% YoY, fuelled by a growing lending base and high-yield investments. Profit Before Taxes surged 29.23% YoY to Rs. 15.18 Bn. driven by our proactive approach to managing interest-sensitive assets and liabilities, ensuring optimal returns amidst changing market conditions.

The Company's asset base expanded by 10.87% to Rs. 202 Bn. driven by an 11.09% increase in the lending portfolio, with notable growth in Vehicle Financing and Gold Loans. Enhanced credit underwriting practices and robust recovery efforts led to a 31.61% decrease in impairment charges. The deposit base grew by 7.72% whilst shareholders' equity also saw a significant increase, reaching Rs. 43.63 Bn. reflecting the Company's strong financial position and ability to generate and retain earnings while maintaining consistent dividend payouts.

ENHANCED RISK GOVERNANCE AND POLICY FRAMEWORK

We enhanced our risk management framework this year, strengthening both our governance and policy structures. Notably, we established a new Board Sub-Committee dedicated to overseeing sustainability and climate-related risks

NII and Interest Spread



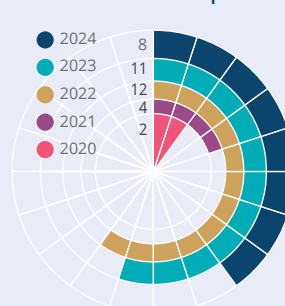
PBT and Income Tax



Gross and Net NPL Ratio



New Branches Opened



and opportunities. Additionally, we bolstered our second line of defence for Information Technology and Security risks by expanding our human resource capacity.

REDUCING OUR NON-PERFORMING LOANS

We navigated the challenging economic landscape and the regulator tightened NPL classification by reducing the number of past due days from 120 to 90 days. Despite industry-wide trends, the NPL ratio declined from 4.45% to 3.54% in FY 2023/24 highlighting our expertise in managing non-performing loans. This achievement stems from our strategic approach to customer engagement and risk management. We understand the unique needs of our customer base, particularly those at the bottom of the pyramid, and invest in tailored solutions, not quick fixes. By understanding the market forces impacting their cash flow, we provide tailored support, through our investments in technology, skill development, and long-term sustainability strategies. This commitment has resulted in a positive shift in the repayment behaviour of our customers, demonstrating our dedication to responsible and sustainable lending practices.

NURTURING A WINNING TEAM

Our employees are more than just a workforce – they are the heart of our success. We nurture a winning team by focusing on their holistic well-being, providing a comprehensive employee value proposition that caters to both personal and professional goals. This includes providing targeted training and development opportunities, modern communication tools, recognition programmes, and a commitment to work-life balance. Our goal is to empower our employees, creating a culture of collaboration, innovation, and engagement that drives our continued success.

Our balanced structure and dynamic approach, coupled with strategic portfolio adjustments, effective risk management, and operational efficiency, enabled us to consistently overcome challenges and deliver exceptional results.

CREATING A SUSTAINABLE IMPACT IN OUR COMMUNITIES

We believe that true corporate social responsibility goes beyond philanthropy; it is about driving systemic change that generates lasting impact. We leverage our expertise in financial services, island-wide presence, talented team, and leadership in technology and innovation to deliver real value to the communities we serve. This year, also we have invested in impactful CSR initiatives focused on expanding access to education, fostering entrepreneurship, and empowering communities, directly benefiting many individuals. Our commitment to building a sustainable future extends beyond our business operations.

STRONG PARTNERSHIPS, SHARED SUCCESS

We continued to foster strong partnerships that drive mutual success providing our business partners with ongoing support to expand their reach and enhance their operations. Our robust infrastructure, competitive pricing, and deep industry expertise empower them to connect with the right customers at the right time and streamline their operations. This collaborative approach results in faster service, more competitive prices, and greater customer satisfaction – a true win-win for our partners, customers, and our business.

ENVIRONMENTAL STEWARDSHIP

We recognise the urgency of climate change and are committed to mitigating our environmental impact. Going beyond simply reducing our operational carbon footprint, we safeguard ecosystems and integrate green financing principles into

our lending strategy. This commitment translates into practical action through energy-efficient practices, resource conservation, and biodiversity conservation measures.

Our Environmental Management System (EMS) continuously evolves to address emerging environmental challenges and ensure regulatory compliance. Through the EMS, we have achieved milestones, in managing carbon emissions and the successful implementation of a recycling programme.

Moreover, we nurture a workforce of environmentally conscious individuals, embrace sustainable green practices, and contribute to the conservation of our planet. By doing so, we strive to build a sustainable future for generations to come.

OUR COMMITMENT TO REGULATORY EXCELLENCE

As the highest taxpayer in the NBFI sector, we are proud of our significant contribution to the national economy. Our tax liability reached Rs. 9.24 Bn. in 2023/24, a significant 55.19% increase YoY, demonstrating our commitment to fiscal responsibility.

Beyond financial contributions, we are dedicated to ethical and responsible business practices. We continuously strengthen our corporate governance and risk management frameworks, upholding the high standards of transparency and integrity. Our proactive adoption of industry best practices and voluntary compliance with standards beyond regulatory requirements underscore our commitment to operating with the utmost integrity and transparency.

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MANAGING DIRECTOR'S REVIEW

RECOGNITIONS AND AWARDS

Our commitment to excellence in financial reporting has earned us recognition both in Sri Lanka and internationally. Our annual report received multiple accolades, including a Silver and Merit Award at the South Asian Best Presented Annual Report Awards 2023, and clinched a gold award for the NBFI sector at the TAGS Awards. Moreover, our integrated reporting practices were recognised, with the Company securing the Overall First runner-up position and multiple awards at the CMA Excellence in Integrated Reporting Awards 2023.

A VISION FOR THE FUTURE

Crafting a vibrant future of endless possibilities

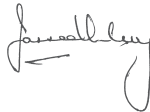
I am incredibly proud of our Company and its accomplishments. We remain committed to building upon our successes and solidifying our position as a leading NBFI in Sri Lanka. Through strategic investments in technology, customer-centric initiatives, and talent development, we are dedicated to creating a vibrant future of infinite possibilities for our stakeholders. This commitment ensures we consistently deliver enhanced value and empower our stakeholders to achieve their full potential. With a sustainable business model, a talented and dedicated team at every level, a proven strategy for value creation, a commitment to innovation, and a sound financial position, we are well-positioned to create long-term value for our stakeholders and strengthen our position as a top-tier financial services organisation in our nation.

GRATITUDE AND ACKNOWLEDGEMENT

My sincere appreciation goes to the Chairman and Board of Directors for their foresight and visionary leadership, guiding LB Finance PLC towards sustainable growth. Their strategic guidance has ensured our continued success, even amidst challenging circumstances.

I extend my heartfelt gratitude to our senior management and staff for their tireless efforts, unwavering dedication to serving our customers, and commitment to all stakeholders. Your dedication is the foundation of our achievements.

Finally, I extend my sincere thanks to our valued customers, shareholders, and stakeholders. Your trust and confidence in LB Finance PLC are what drive us forward. Together, let us shape a brighter future.



Sumith Adhihetty
Managing Director

27 May 2024